NATIONAL COMPANY LAW TRIBUNAL

KOLKATA BENCH

C.P. (CAA) No. 528/KB/2019

CONNECTED WITH

C.A. (CAA) No. 129/ KB/2019

In the matter of

A petition for sanction of Scheme of Amalgamation made under Sections 230 to 232 and other applicable provisions of the Companies Act , 2013 read with the Companies (Compromises, Arrangements and Amalgamations Rules), 2016;

AND

In the matter of

JKS INFRASTRUCTURE PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 and having its Registered Office at P- 4, Black Bourn Lane, 3rd Floor, Kolkata 700012 in the State of West Bengal within the aforesaid jurisdiction;

AND

In the matter of:

VALUES SPACES REALTORS PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 2013 and

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having its Registered Office at P-4 Black Burn Lane 3rd Floor Kolkata 700012 in the State of West Bengal within the aforesaid jurisdiction;

AND

In the matter of:

VALUE SPACES LOGISTICS & INDUSTRIAL PARK POLIVAKKAM PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 2013 and having its Registered Office at P-4 Black Burn Lane 3rd Floor Kolkata 700012 in the State of West Bengal within the aforesaid jurisdiction;

AND

In the matter of:

1. JKS INFRASTRUCTURE PRIVATE LIMITED;
   (Demerged Company)
2. VALUES SPACES REALTORS PRIVATE LIMITED;
   (Resulting Company No 1)
3. VALUE SPACES LOGISTICS & INDUSTRIAL PARK POLIVAKKAM PRIVATE LIMITED;
   (Resulting Company No 2)

... APPLICANTS/PETITIONERS

CORAM:
Shri Jinan K.R, Hon'ble Member (J)

COUNSELS ON RECORD:

1. Ms. Manju Bhuteria, Advocate
2. Mr. N.Gurumurthy, FCA }..... For the petitioners.

Date of pronouncement of order: 07/05/2019

ORDER

This is a Joint Petition for sanctioning of the Scheme of Arrangement between VALUES SPACES REALTORS PRIVATE LIMITED the petitioner No.2 above named (hereinafter collectively referred to as 'VSRPL' or "RESULTING COMPANY No. 1), VALUE SPACES LOGISTICS & INDUSTRIAL PARK POLIVAKKAM PRIVATE LIMITED the petitioner No.3 above named (hereinafter collectively referred to as 'VSLIPPPL' or "RESULTING COMPANY No. 2) and JKS INFRASTRUCTURE PRIVATE LIMITED the petitioner No.1 ((hereinafter referred to as 'JIPL' or "DEMERGED COMPANY") with appointed date as 1st November, 2018 under section 232 of the Companies Act, 2013.

2. The object of this petition is to obtain sanction of Tribunal to the Scheme of Arrangement whereby and where under the entire undertaking of the Resulting Companies together with all assets and liabilities relating thereto ongoing concern are proposed to be transferred to and vested in the "Demerged Company" with appointed date being 01st November, 2018 on the terms and conditions fully stated in the Scheme of Arrangement a copy whereof is annexed with the petition and marked with the letter **ANNEXURE- A.**

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3. It is further stated in the petition that this Tribunal vide its order passed on 12th February, 2019 in Company Application No. C.A (CAA) No. 129/KB/2019 has recorded that:

a) In view of the consents given in affidavit form by all the shareholders of the Demerged Company and in the Resulting Companies, the requirement of convening and holding of separate meetings of the shareholders of the Applicant Companies are dispensed with.

b) In view of the consents given in affidavit form by all the Secured Creditors of the Demerged Company the requirement of convening and holding of separate meetings of the Secured Creditors of the Demerged Company are dispensed with.

c) In view of the consents given in affidavit form by 90.26% of the Unsecured Creditors of the Demerged Company the requirement of convening and holding of separate meetings of the Unsecured Creditors of the Demerged Company are dispensed with.

d) In view of the fact that the Resulting Companies have Nil Secured Creditors verified by Auditors Certificate, the

requirement of convening and holding meeting of Secured Creditors of the Resulting Companies does not arise.

e) In view of the consents given in affidavit form by all the Unsecured Creditors of the Resulting Companies the requirement of convening and holding of separate meetings of the Unsecured Creditors of the Resulting Companies are dispensed with.

4. It is further stated in the petition that pursuant to order dated 12th February, 2019 in Company Application being C.A. (CAA) No. 129/KB/2019, the petitioner companies have served a copy of the application together with a copy of the said order upon the Income Tax authorities having jurisdiction over the affairs of the petitioner Companies, Central Government, Regional Director Eastern Region, Ministry of Corporate Affairs, Registrar of Companies West Bengal and Official Liquidator, Calcutta High Court and Reserve Bank of India. The Petitioner Companies have have filed affidavit of Compliance duly affirmed by SRI SATISH KUMAR SHARMA on 09th March, 2019 which is available on record and marked as **ANNEXURE " M "** in Vol II at pages 241 to 275 of the petition.

5. In the petition the following reasons that necessitated Scheme of Arrangement & benefits sought to be achieved are:

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a) The Demerge Company and Resulting Companies are both into real estate business. The demerger of business of warehousing division - Gurugram and Warehousing Division - Chennai of the Demerged Company and transfer and vesting of the same in the Resulting Companies will enable the Resulting Companies to carry on the business more efficiently as it is already into similar business.

b) The management of Demerged Company is of the opinion that the arrangement will enable it to lend greater focus to the operations of remaining business in the undertaking.

c) The management of the Resulting Companies is of the opinion that the arrangement will provide greater capacity and better utilisation of its resources. The arrangement will also enable it to consolidate its business by restructuring and reorganising its business activities and capital structure.

d) Thus the present scheme of arrangement would involve transfer on a going concern basis, of the Warehousing Division-Gurugram and Warehousing Division-Chennai of Demerged Company to Resulting Companies and in consideration thereof the Resulting Companies will issue equity shares to the shareholders of the

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Demerged Company pursuant to Section 232 and the other relevant provisions of the Companies Act, 2013.

e) The Board of Directors of the Resulting Companies and Demerged Company are of the opinion that the restructuring involving merger and demerger would benefit their shareholders, creditors, employees, the companies concerned and the general public.

6. It is further stated in the petition that the statutory Auditors of the Demerged Company and the Resulting Companies have certified that the Accounting treatment proposed in terms of PART VI of the Scheme is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013. The certificate issued by the statutory Auditors is annexed with the petition and marked as Letter - "O".

7. It is further stated in the petition that there are no proceedings pending under Section 235 to 251 of the Companies Act, 1956 and Section 217, 219, 221, 224 and 225 of the Companies Act, 2013 against any of the applicant companies.

8. It is further stated in the petition that the assets of the petitioner companies are sufficient to meet all their liabilities and the said scheme

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will not adversely affect the rights of any of the creditors of any of the applicant companies in any manner whatsoever.

9. Now, this Hon'ble Tribunal upon perusing the documents submitted by the petitioners and as per norms enunciated in Motion II format, it is ordered as follows:

a) The date of hearing of the petition filed jointly by the Petitioner for the sanction of the Scheme is fixed on Friday, 14th June, 2019.

b) Notice of hearing of this petition in form NCLT 3A shall be advertised once in English daily "Financial Express" and in Bengali "Aajkal" daily newspaper, not less than 10 days before the aforesaid date fixed for hearing.

c) In addition to the above public notice, the petitioner companies shall serve notice of the petition on the following authorities namely (a) Central government through Regional Director, Eastern Region, Ministry of Corporate Affairs, (b) Registrar of Companies, West Bengal, (c)The Income Tax Department of the office having jurisdiction over the respective petitioner

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companies, (d) the Reserve Bank of India and (e) the Official Liquidator and such other relevant and sectorial regulators/authorities, if applicable, which are likely to be affected by the proposed Scheme by sending the same by hand delivery through special messenger or by registered post or speed post within 7 days from the date of this order for filing their representations., if any on the petition. Notice along with the copy of the application and other related documents with PAN Numbers of the Applicant Companies should be served upon the Chief Commissioner of Income Tax Department by Mail and Speed Post or by Messenger. Petitioner Companies are also directed to mention their respective PAN Nos everywhere.

d) The notice shall specify that representations, if any should be filed before this Tribunal within 30 days of date of receipt of the notice with a copy of such representations being sent simultaneously to the petitioners and/or their Authorized Representatives. If no such representations is received by the Tribunal within the said period , it shall be presumed that such

authorities have no representations to make on the Scheme of Arrangement.

e) All Petitioner Companies at least 7 days before the date of hearing of the petition shall file an affidavit of service in relation to the paper publication as well as service of notices on the Authorities specified above including the Sectorial Regulators.

10. The Company Petition being C.P. (CAA) No. 528/KB/2019 connected with C.A.(CAA) No. 129/KB/2019 is directed to be listed for further hearing on Friday 14th June, 2019.

11. Urgent Photostat copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

(Jinan K.R.)
Member(Judicial)

Signed on this, the 7th day of May, 2019.

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